Annual Report Excerpts

This document collects excerpts of company annual reports. Each excerpt is a chapter titled 'Report R-<NNN>' with two sections: 'Text', paragraphs from the report, and 'Table', the table they accompany. Amounts are given as printed in the report, with the scale it states (for example 'in thousands' or '$M'); questions refer to a chapter by its title.

Chapters in this document (fin_dev): Report R-901, Report R-902, Report R-903, Report R-904, Report R-905, Report R-906, Report R-907, Report R-908, Report R-909, Report R-910, Report R-911, Report R-912, Report R-913, Report R-914, Report R-915, Report R-916, Report R-917, Report R-918, Report R-919, Report R-920, Report R-921, Report R-922, Report R-923, Report R-924, Report R-925, Report R-926, Report R-927, Report R-928, Report R-929, Report R-930.

Report R-901

Report R-901: Text

3 Segmental reporting continued

Capital additions, depreciation, amortisation and impairment

Capital additions include property, plant and equipment of £59.0m (2018: £33.5m), of which £8.1m (2018: £0.2m) was from acquisitions in the period, and other intangible assets of £72.0m (2018: £19.0m) of which £60.2m (2018: £9.1m) relates to acquired intangibles from acquisitions in the period. Right-of-use asset additions of £48.9m occurred during the 12 month period to 31st December 2019, of which £36.1m relates to additions on 1st January 2019 as a result of transition to IFRS 16, £11.7m relates to new leases entered into in 2019 and £1.1m from acquisitions. Capital additions split between the UK and rest of the world are UK £36.8m (2018: £20.1m) and rest of the world £143.1m (2018: £32.4m).

Report R-901: Table

	2019	2019	2018	2018
	Capital additions	Depreciation, amortisation and impairment	Capital additions	Depreciation and amortisation
	£m	£m	£m	£m
Steam Specialties	57.7	35.8	27.9	30.1
Electric Thermal Solutions	81.6	18.4	6.0	13.6
Watson-Marlow	40.6	22.4	18.6	14.4
Group total	179.9	76.6	52.5	58.1

Report R-902

Report R-902: Text

Note 14 Debt and Credit Facilities

Our total debt outstanding consisted of the amounts set forth on the following table:

(1) Short-term borrowings of $98.9 million at December 31, 2019 were comprised of $89.0 million under our revolving credit facility and $9.9 million of short-term borrowings from various lines of credit. Short-term borrowings of $232.8 million at December 31, 2018 were comprised of $140.0 million under our revolving credit facility, $83.9 million under our European securitization program and $8.9 million of short-term borrowings from various lines of credit.

(2) The Current portion of long-term debt includes finance lease liabilities of $10.4 million as of December 31, 2019. The Other debt balance includes $28.7 million for long-term liabilities associated with our finance leases as of December 31, 2019. See Note 4, "Leases," of the Notes to Condensed Consolidated Financial Statements for additional information on finance and operating lease liabilities.

(3) Amounts are net of unamortized discounts and issuance costs of $24.6 million and $24.3 million as of December 31, 2019 and 2018, respectively.

(4) As of December 31, 2019, our weighted average interest rate on our short-term borrowings outstanding was 5.0% and on our long-term debt outstanding was 4.8%. As of December 31, 2018, our weighted average interest rate on our short-term borrowings outstanding was 2.8% and on our long-term debt outstanding was 5.4%.

Report R-902: Table

	December 31,	
(In millions)	**2019**	**2018**
Short-term borrowings (1)	$ 98.9	$ 232.8
Current portion of long-term debt(2)	16.7	4.9
Total current debt	115.6	237.7
Term Loan A due July 2022	474.6	—
Term Loan A due July 2023	218.2	222.2
6.50% Senior Notes due December 2020	—	424.0
4.875% Senior Notes due December 2022	421.9	421.1
5.25% Senior Notes due April 2023	422.0	421.2
4.50% Senior Notes due September 2023	445.6	454.9
5.125% Senior Notes due December 2024	421.9	421.3
5.50% Senior Notes due September 2025	397.4	397.1
4.00% Senior Notes due December 2027	420.4	—
6.875% Senior Notes due July 2033	445.7	445.5
Other(2)	30.9	29.2
Total long-term debt, less current portion(3)	3,698.6	3,236.5
Total debt(4)	$ 3,814.2	$ 3,474.2

Report R-903

Report R-903: Text

4. Link between Group performance and remuneration outcomes

The Altium Remuneration Framework is designed to align key employee remuneration to shareholder returns (in the form of capital appreciation and dividends). The table below shows the Group performance on key financial results and performance metrics over the last five years.

Altium's remuneration strategy has evolved over the past seven years and we believe that it is linked intrinsically to the success of the Group. Strong payout results for STI and LTI have reflected the strong financial performance of the Group. In addition, STI and LTI hurdles have changed over time to better reflect what is most important for Group growth.

1 Normalised EPS and Profit for the year excludes deferred tax asset of US$77 million recognised on the transfer of core business assets to the USA.

2 The maximum STI payable based on the above performance hurdles is 100%, however based on achievement of individual personal goals, the overall achievement level may be modified up to 150% or down to 0%.

Report R-903: Table

	2019	**2018**	**2017**	**2016**	**2015**
	US$'000	US$'000	US$'000	US$'000	US$'000
Revenue	171,819	140,176	110,865	93,597	80,216
EBITDA	62,721	44,869	33,254	27,430	22,697
EPS	40.57	28.86	21.70	17.89	12.47 1
Profit for the year	52,893	37,489	28,077	23,020	15,398 1
Dividend declared - AU cents	34	27	23	20	16
Share price - AU$	$34.2	22.51	8.57	6.46	4.43
STI Achievement	100% - 150% 2	131%	103%	97%	63%
STI performance hurdles	70% Revenue 30% EBITDA	50% Revenue 50% EBITDA	70% Revenue 30% EBITDA	50% Revenue 50% EBITDA	Different metrics related to subscriber related to subscriber growth, EPS and Product development related to subscriber growth, EPS and Product development related to subscriber growth, EPS and Product development
LTI Achievement	100%	100%	100%	100%	50%
LTI performance hurdles	50% Revenue	EPS	EPS	EPS	50% Subscriber growth 50% EPS

Report R-904

Report R-904: Text

Foreign Currency Exchange Rate Risk

As part of managing the exposure to changes in foreign currency exchange rates, we utilize cross-currency swap contracts and foreign currency forward contracts, a portion of which are designated as cash flow hedges. The objective of these contracts is to minimize impacts to cash flows and profitability due to changes in foreign currency exchange rates on intercompany and other cash transactions. We expect that significantly all of the balance in accumulated other comprehensive income (loss) associated with the cash flow hedge-designated instruments addressing foreign exchange risks will be reclassified into the Consolidated Statement of Operations within the next twelve months.

During fiscal 2015, we entered into cross-currency swap contracts with an aggregate notional value of €1,000 million to reduce our exposure to foreign currency exchange rate risk associated with certain intercompany loans. Under the terms of these contracts, which have been designated as cash flow hedges, we make interest payments in euros at 3.50% per annum and receive interest in U.S. dollars at a weighted-average rate of 5.33% per annum. Upon the maturity of these contracts in fiscal 2022, we will pay the notional value of the contracts in euros and receive U.S. dollars from our counterparties. In connection with the cross-currency swap contracts, both counterparties to each contract are required to provide cash collateral.

At fiscal year end 2019, these cross-currency swap contracts were in an asset position of $19 million and were recorded in other assets on the Consolidated Balance Sheet. The cross-currency swap contracts were in a liability position of $100 million and were recorded in other liabilities on the Consolidated Balance Sheet at fiscal year end 2018. At fiscal year end 2019 and 2018, collateral received from or paid to our counterparties approximated the derivative positions and was recorded in accrued and other current liabilities (when the contracts are in an asset position) or prepaid expenses and other current assets (when the contracts are in a liability position) on the Consolidated Balance Sheets. The impacts of these cross-currency swap contracts were as follows:

(1) Gains and losses excluded from the hedging relationship are recognized prospectively in selling, general, and administrative expenses and are offset by losses and gains generated as a result of re-measuring certain intercompany loans to the U.S. dollar.

Report R-904: Table

		Fiscal	
	2019	**2018**	**2017**
		(in millions)	
Gains (losses) recorded in other comprehensive income (loss)	$ 53	$ (25)	$ (20)
Gains (losses) excluded from the hedging relationship (1)	66	21	(58)

Report R-905

Report R-905: Text

Australian Food's VOC NPS (including Online) was up 3 pts on the prior year with Store-controllable VOC steady on the prior year. Store-controllable VOC improved on Q3'19 where scores were impacted by flood and drought effects on fruit and vegetable prices impacting quality and availability. Fruit & Vegetables and Availability scores improved 1 pt to 78% compared to June 2018, and 5 pts and 2 pts respectively vs. Q3'19. Team Attitude remained stable (89%) compared to June 2018.

In F20, Store-controllable VOC will be reduced from seven metrics to five, removing Ease of Movement and Correct Price Tickets to simplify the focus for stores on the areas that offer the most opportunity for improvement.

Sales increased by 5.3% to $39.6 billion or 3.3% on a normalised basis. Comparable sales increased by 3.1% for the year with transaction growth of 1.8% and items per basket of 1.7% contributing to comparable item growth of 3.5%.

Despite some challenges during the year, sales momentum improved in H2 with strong growth across a number of Fresh categories. Sales in the second half also benefitted from successful campaigns including Disney Words and Earn & Learn. In Q4, comparable sales increased by 3.6% with comparable transaction growth of 1.4%. Comparable items per basket increased by 1.2%.

Metro continued to grow strongly with further refinement to price, promotional optimisation and range curation. An extra-small store format was successfully launched in Kirribilli and new stores opened in Rozelle and Kings Cross. At the end of the financial year, 43 Metro-branded stores and 16 small Woolworths Supermarkets were managed by the Metro team.

In WooliesX, Online VOC scores improved 2 pts to 81% at the end of June, with improvements in Delivery & Pick up and Ease of Website Navigation. Online sales grew 31% (normalised) to $1.4 billion driven by expanded offerings such as Same day, Delivery Now, Drive thru and Drive up.

Australian Food sales per square metre was $17,163 with normalised growth of 2.0% on the prior year. During the year, 24 new stores were opened (21 supermarkets and three Metros), eight were closed and 68 Renewals completed. At year-end, there were 1,024 Woolworths Supermarkets and Metro stores.

Average prices declined 0.4% for the year, with modest inflation of 0.5% in the fourth quarter as a result of increases in a number of Fresh categories impacted by the drought including Fruit & Vegetables, Meat and Bakery.

Report R-905: Table

	F19	F18		CHANGE
$ MILLION	53 WEEKS	52 WEEKS	CHANGE	NORMALISED
Sales	39,568	37,589	5.3%	3.3%
EBITDA	2,613	2,430	7.5%	6.1%
Depreciation and amortisation	(756)	(673)	12.3%	12.3%
EBIT	1,857	1,757	5.7%	3.8%
Gross margin (%)	28.7	29.0	(24) bps	(24) bps
Cost of doing business (%)	24.0	24.3	(27) bps	(26) bps
EBIT to sales (%)	4.7	4.7	2 bps	2 bps
Sales per square metre ($)	17,163	16,528	3.8%	2.0%
Funds employed	1,468	1,215	20.9%	
ROFE (%)	140.2	170.7	(30.6) pts	(33.2) pts

Report R-906

Report R-906: Text

The determination of which country a particular sale is allocated to is based on the destination of the product shipment. No other individual country accounted for more than 10% of net revenue during these periods. Although a large percentage of the Company’s products is shipped to Asia, and in particular, China, the Company believes that a significant number of the systems designed by customers and incorporating the Company’s semiconductor products are subsequently sold outside Asia to Europe, Middle East, and Africa, or EMEA markets and North American markets.

Long-lived assets, which consists of property and equipment, net, leased right-of-use assets, intangible assets, net, and goodwill, by geographic area are as follows (in thousands):

(1) Amounts do not include leased right-of-use assets in the prior period due to the adoption of ASC 842 under the modified retrospective method with a cumulative effect adjustment to accumulated deficit as of January 1, 2019.

Report R-906: Table

	As of December 31,			
	2019		**2018(1)**	
	Amount	**% of total**	**Amount**	**% of total**
United States	$385,302	85%	$426,321	85%
Singapore	63,556	14%	71,945	14%
Rest of world	5,034	1%	3,368	1%
Total	$453,892	100%	$501,634	100%

Report R-907

Report R-907: Text

Issuer purchases of equity securities

Common stock repurchased in the three months ended December 31, 2019:

(1) Shares withheld to cover the option exercise price and tax withholding obligations under the net settlement provisions of our stock compensation awards have been included in these amounts.

(2) See "Stock repurchase program" in Item 7 of this Annual Report for additional information.

Report R-907: Table

(in thousands, except per share amounts)	Total Number of Shares Purchased (1) (2)	Average Price Paid per Share (1) (2)	Total Number of Shares Purchased as Part of Publicly Announced Share Repurchase Program (2)	Approximate Dollar Value of Shares That May Yet Be Purchased at Period End Under Publicly Announced Share Repurchased Programs (2)
October 1, 2019 - October 31, 2019	24	$71.89	12	$45,484
November 1, 2019 - November 30, 2019	108	$75.63	-	$45,484
December 1, 2019 - December 31, 2019	144	$76.64	-	$45,484
Total	276	$75.83		

Report R-908

Report R-908: Text

B. Liquidity and Capital Resources

Our operations and strategic objectives require continuing capital investment, and our resources include cash on hand and cash provided by operations, as well as access to capital from bank borrowings and access to capital markets. Management believes that cash generated by or available to us should be sufficient to fund our capital and liquidity needs for at least the next 12 months.

Our future financial and operating performance, ability to service or refinance debt and ability to comply with covenants and restrictions contained in our debt agreements will be subject to future economic conditions, the financial health of our customers and suppliers and to financial, business and other factors, many of which are beyond our control. Furthermore, management believes that working capital is sufficient for our present requirements.

(*) including trade receivables classified as current asset based on operating cycle of two years.

The decrease in working capital as at March 31, 2019 as compared to March 31, 2018 was primarily the result of an increase in short-term borrowings amounting to $208.9 million as at March 31, 2019 from $152 million as at March 31, 2018 due to overdraft against restricted deposits and loan installments due within 12 months.

For additional information, please see Note 2(a) and Note 32 to our audited Consolidated Financial Statements appearing elsewhere in this annual report.

Report R-908: Table

		Year ended March 31,	
	2019	**2018**	**2017**
		(in thousands)	
Current assets(*)	$351,597	$339,562	$362,477
Current liabilities	318,672	239,327	316,101
Working capital	$32,925	$100,235	$46,376

Report R-909

Report R-909: Text

7. Property, Plant and Equipment and Leases

Property, plant and equipment at April 30, 2019 and 2018, consisted of the following (in thousands):

Depreciation and amortization expense for the years ended April 30, 2019 and 2018 was $2,802,000 and $2,484,000, respectively.

Maintenance and repairs charged to operations for the years ended April 30, 2019 and 2018 was approximately $309,000 and $466,000, respectively.

The Company leases its Long Island, New York headquarters building. On July 25, 2018, the Company signed an amendment to the lease which extends the current lease terms ten years and eight months through September 30, 2029. Pursuant to the amendment to the lease agreement, the annual rent will increase from $1,046,810 in 2019 to $1,276,056 in 2029. Under the terms of the lease, the Company is required to pay its proportionate share of real estate taxes, insurance and other charges.

In addition, the Company’s subsidiaries in New Jersey and California lease their office and manufacturing facilities. On February 1, 2018, FEI-Elcom entered into a new lease agreement in New Jersey for office and manufacturing space encompassing approximately 9,000 square feet. The monthly rent is $9,673 through the end of the lease which expires in January 31, 2021. FEI-Zyfer has signed a second amendment to its lease in California, which extends the lease an additional 88 months, beginning October 1, 2017 and expiring January 31, 2025. The average annual rent over the period of the amendment is approximately $312,000. FEI-Zyfer leases office and manufacturing space encompassing 27,850 square feet.

Rent expense under operating leases for the years ended April 30, 2019 and 2018 was approximately $1.2 million and $1.7 million, respectively. The Company records rent expense on its New York building and FEI-Zyfer facility on the straight-line method over the lives of the respective leases. As a result, as of April 30, 2019 and 2018, the Company’s Consolidated Balance Sheet included deferred rent payable of approximately $236,000 and $110,000, respectively, which will be recognized over the respective rental periods.

Report R-909: Table

	2019	**2018**
Buildings and building improvements	$2,692	$2,790
Machinery, equipment and furniture	57,157	57,503
	59,849	60,293
Less, accumulated depreciation	(46,811)	(46,166)
	$13,038	$ 14,127

Report R-910

Report R-910: Text

(1) Includes construction costs capitalized related to build-to-suit facilities:

As of March 31, 2019 and 2018, the U.S. build-to-suit facility includes company-funded building improvements of $5.2 million and $4.5 million, respectively. In March 2019, the Company derecognized the U.K. build-to-suit facility upon substantial completion of construction. See Note 12 for further details.

Report R-910: Table

	As of March 31,	
	2019	**2018**
U.S. build-to-suit facility	$47,001	$43,925
U.K. build-to-suit facility	—	31,240
Less: Accumulated depreciation	(5,164)	(753)
	$41,837	$74,412

Report R-911

Report R-911: Text

The following table summarizes net revenues by significant product and services categories:

Endpoint and information protection products include endpoint security, advanced threat protection, and information protection solutions and their related support services. Network and web security products include network security, web security, and cloud security solutions and their related support services. WSS and PKI products consist of the solutions we divested on October 31, 2017. Other products and services primarily consist of email security products, managed security services, consulting, and other professional services.

Consumer security products include Norton security, Norton Secure VPN, and other consumer security solutions. Identity and information protection products include LifeLock identity theft protection and other information protection solutions.

Products and service revenue information

Report R-911: Table

		Year Ended	
(in millions)	**March 29, 2019**	**March 30, 2018**	**March 31, 2017**
Enterprise Security:			
Endpoint and information protection	$1,027	$983	$947
Network and web security	748	782	451
WSS and PKI	-	238	422
Other products and services	548	551	535
Total Enterprise Security	$2,323	$2,554	$2,355
Consumer Cyber Safety:			
Consumer security	$1,471	$1,504	$1,527
Identity and information protection	937	776	137
Total Consumer Cyber Safety	2,408	2,280	1,664
Total net revenues	$4,731	$4,834	$4,019

Report R-912

Report R-912: Text

Operating Income (Loss) by Business Unit

Percentages reflect operating income (loss) as a percentage of revenue for each business unit.

CNBU operating income for 2019 decreased from 2018 primarily due to declines in pricing and higher R&D costs, partially offset by cost reductions. MBU operating income for 2019 decreased from 2018 primarily due to declines in pricing partially offset by increases in sales of high-value managed NAND products and manufacturing cost reductions. SBU operating margin for 2019 declined from 2018 primarily due to declines in pricing, which were partially offset by manufacturing cost reductions and increases in sales volumes. SBU operating results for 2019 and 2018 were adversely impacted by the underutilization charges at IMFT. EBU operating income for 2019 decreased from 2018 as a result of declines in pricing and higher R&D costs partially offset by manufacturing cost reductions and increases in sales volumes.

CNBU operating income for 2018 improved from 2017 primarily due to improved pricing and higher sales volumes resulting from strong demand for our products combined with manufacturing cost reductions. MBU operating income for 2018 improved from 2017 primarily due to increases in pricing and sales volumes for LPDRAM products, higher sales of high-value managed NAND products, and manufacturing cost reductions. SBU operating income for 2018 improved from 2017 primarily due to manufacturing cost reductions enabled by our execution in transitioning to 64-layer TLC 3D NAND products and improvements in product mix. SBU operating income for 2018 was adversely impacted by higher costs associated with IMFT's production of 3D XPoint memory products at less than full capacity. EBU operating income for 2018 increased as compared to 2017 as a result of increases in average selling prices, manufacturing cost reductions, and increases in sales volumes, partially offset by higher R&D costs.

Report R-912: Table

For the year ended	**2019**	**2019**	**2018**	**2018**	**2017**	**2017**
CNBU	$4,645	47%	$9,773	64%	$3,755	44%
MBU	2,606	41%	3,033	46%	927	21%
SBU	(386)	(10)%	964	19%	552	12%
EBU	923	29%	1,473	42%	975	36%
All Other	13	18%	—	—%	23	35%
	$7,801		$15,243		$6,232	

Report R-913

Report R-913: Text

18. Revenue

Effective September 1, 2018, the Company adopted ASU 2014-09, Revenue Recognition (Topic 606). The new standard is a comprehensive new revenue recognition model that requires the Company to recognize revenue in a manner which depicts the transfer of goods or services to its customers at an amount that reflects the consideration the Company expects to receive in exchange for those goods or services.

Prior to the adoption of the new standard, the Company recognized substantially all of its revenue from contracts with customers at a point in time, which was generally when the goods were shipped to or received by the customer, title and risk of ownership had passed, the price to the buyer was fixed or determinable and collectability was reasonably assured (net of estimated returns). Under the new standard, the Company recognizes revenue over time for the majority of its contracts with customers which results in revenue for those customers being recognized earlier than under the previous guidance. Revenue for all other contracts with customers continues to be recognized at a point in time, similar to recognition prior to the adoption of the standard.

Additionally, the new standard impacts the Company’s accounting for certain fulfillment costs, which include upfront costs to prepare for manufacturing activities that are expected to be recovered. Under the new standard, such upfront costs are recognized as an asset and amortized on a systematic basis consistent with the pattern of the transfer of control of the products or services to which to the asset relates.

The Company adopted ASU 2014-09 using the modified retrospective method by applying the guidance to all open contracts upon adoption and recorded a cumulative effect adjustment as of September 1, 2018, net of tax, effect adjustment (in thousands):

(1) Differences primarily relate to the timing of revenue recognition for over time customers and certain balance sheet reclassifications.

(2) Differences primarily relate to the timing of recognition and recovery of fulfillment costs and certain balance sheet reclassifications.

(3) Included within accrued expenses on the Consolidated Balance Sheets.

(4) Differences included in contract liabilities as of September 1, 2018.

Report R-913: Table

	Balance as of August 31, 2018	Adjustments due to adoption of ASU 2014-09	Balance as of September 1, 2018
Assets			
Contract assets(1)	$—	$591,616	$591,616
Inventories, net(1)	$3,457,706	$(461,271)	$2,996,435
Prepaid expenses and other current assets(1)(2)	$1,141,000	$(37,271)	$1,103,729
Deferred income taxes(1)(2)	$218,252	$(8,325)	$209,927
Liabilities			
Contract liabilities(2)(3)	$—	$690,142	$690,142
Deferred income(2)(3)(4)	$691,365	$(691,365)	$—
Other accrued expenses(3)(4)	$1,000,979	$40,392	$1,041,371
Deferred income taxes(1)	$114,385	$2,977	$117,362
Equity			
Retained earnings(1)(2)	$1,760,097	$42,602	$1,802,699

Report R-914

Report R-914: Text

Basic earnings per share is computed on the basis of the weighted-average number of shares of common stock outstanding during the period. Diluted earnings per share is computed on the basis of the weighted-average number of shares of common stock outstanding plus the effect of dilutive potential common shares outstanding during the period using the treasury stock method. Dilutive potential common shares include outstanding stock options and stock awards.

* Includes a charge of $2.0 billion or $2.23 of basic and diluted earnings per share in 2018 associated with U.S. tax reform.

Actual shares outstanding at December 31, 2019 and 2018 were 887.1 million and 892.5 million, respectively. The year-to- year decrease was primarily the result of the common stock repurchase program. The average number of common shares outstanding assuming dilution was 23.5 million shares lower in 2019 versus 2018

Report R-914: Table

For the year ended December 31:	2019	2018	Yr.-to-Yr. Percent Change
Earnings per share of common stock from continuing operations			
Assuming dilution	$10.57	$9.51*	11.1%
Basic	$10.63	$9.56*	11.2%
Diluted operating (non-GAAP)	$12.81	$13.81	(7.2)%
Weighted-average shares outstanding (in millions)			
Assuming dilution	892.8	916.3	(2.6)%
Basic	887.2	912.0	(2.7)%

Report R-915

Report R-915: Text

Disaggregation of Revenues

The nature, amount, timing and uncertainty of our revenue and how revenue and cash flows are affected by economic factors is most appropriately depicted by type of revenue as presented below (in thousands) and by geographic region as presented in Note 3

Report R-915: Table

		For the Year Ended December 31,
	2019	**2018**
Cloud and related solutions	$896,164	$766,377
Software and services	52,364	58,101
Maintenance	48,282	50,581
Total revenues	$996,810	$875,059

Report R-916

Report R-916: Text

AMERICAN TOWER CORPORATION AND SUBSIDIARIES NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (Tabular amounts in millions, unless otherwise disclosed)

The components of the net deferred tax asset and liability and related valuation allowance were as follows:

The Company provides valuation allowances if, based on the available evidence, it is more likely than not that some or all of the deferred tax assets will not be realized. Management assesses the available evidence to estimate if sufficient future taxable income will be generated to use the existing deferred tax assets.

Report R-916: Table

	December 31, 2019	December 31, 2018
Assets:		
Operating lease liability	$878.5	$—
Net operating loss carryforwards	356.6	264.9
Accrued asset retirement obligations	174.9	165.7
Stock-based compensation	5.6	6.3
Unearned revenue	31.7	28.3
Unrealized loss on foreign currency	3.8	12.9
Other accruals and allowances	65.6	78.6
Items not currently deductible and other	26.1	26.2
Liabilities:		
Depreciation and amortization	(1,040.3)	(757.0)
Right-of-use asset	(865.1)	—
Deferred rent	(79.7)	(36.9)
Other	—	(15.3)
Subtotal	(442.3)	(226.3)
Valuation allowance	(194.2)	(151.9)
Net deferred tax liabilities	$(636.5)	$(378.2)

Report R-917

Report R-917: Text

Base Salary. The base salary for each NEO is determined on the basis of the following factors: scope of responsibilities, experience, skills, performance, expected future contribution, base salary levels in effect for comparable positions at the companies in the Peer Group (as described on page 42 below under “Use of Peer Group Compensation Data”) and other competitive market factors. Generally, the Committee reviews the base salary levels of our NEOs annually as part of the Company’s performance review process as well as upon a promotion or other change of position or level of responsibility. Merit-based increases to the base salaries of our NEOs (other than our CEO) are recommended by our CEO to the Committee, and all increases are based on the Committee’s (and in the case of our CEO, the Board’s) review and assessment of the factors described above.

The Compensation Committee reviews compensation levels at the beginning of each fiscal year and adjusts as needed based upon market data and executive achievement. The Committee reviewed the base salaries of our executive officers, including our NEOs, for fiscal year 2019 and increased the salaries of our CEO and CFO in light of their contributions in fiscal year 2018, including, among other considerations, the successful execution and integration of the AvComm and Wireless acquisition and to reflect the Committee’s review of current peer and market compensation data. Mr. Staley’s salary was also increased to reflect the Committee’s review of current peer and market compensation data as well as his contributions in fiscal year 2019, including the integration of AvComm and Wireless sales into our global sales organization. The Committee did not increase the salaries of any of our other NEOs because the Committee determined that the existing base salaries were appropriate for each of these NEOs.

Actual base salaries paid to our NEOs in fiscal year 2019 are set forth in the “Salary” column of the Fiscal 2019 Summary Compensation Table on page 44.

Report R-917: Table

	Fiscal Year 2018	Fiscal Year 2019	
Named Executive Officer	**Base Salary**	**Base Salary**	**Percentage Increase**
Oleg Khaykin	$750,000	$800,000	6.7%
Amar Maletira	$425,000	$500,000	17.7%
Paul McNab	$435,000	$435,000	—
Luke Scrivanich	$372,000	$372,000	—
Gary Staley	$360,000	$375,000	4.2%

Report R-918

Report R-918: Text

Deferred Revenues

Deferred revenues consist primarily of prepayments for license fees, and other products or services for which we have been paid in advance, and earn the revenue when we transfer control of the product or service. Deferred revenues may also include upfront payments for consulting services to be performed in the future, such as non-recurring engineering services.

We defer license fees until we have met all accounting requirements for revenue recognition, which is when a license is made available to a customer and that customer has a right to use the license. Engineering development fee revenues are deferred until engineering services have been completed and accepted by our customers. We defer AirBar and sensor modules revenues until distributors sell the products to their end customers

Under U.S. GAAP, companies may make reasonable aggregations and approximations of returns data to accurately estimate returns. Our AirBar and sensor module returns and warranty experience to date has enabled us to make reasonable returns estimates, which are supported by the fact that our product sales involve homogenous transactions. The reserve for future sales returns is recorded as a reduction of our accounts receivable and revenue and was insignificant as of December 31, 2019 and 2018.

The following table presents our deferred revenues by source (in thousands);

Report R-918: Table

	Years ended December 31,	
	2019	**2018**
Deferred license fees revenues	$28	$-
Deferred NRE revenues	20	-
Deferred AirBar revenues	6	59
Deferred sensor modules revenues	13	16
	$67	$75

Report R-919

Report R-919: Text

In November 2016, the FASB issued guidance that requires entities to show the changes in the total of cash, cash equivalents, restricted cash and restricted cash equivalents in the statement of cash flows. The guidance is effective for annual reporting periods and interim periods within those annual reporting periods beginning after December 15, 2017, our fiscal 2019. The retrospective transition method should be applied. We adopted this guidance in the first quarter of fiscal 2019 and it did not have a material impact on our consolidated financial statements.

In October 2016, the FASB issued guidance that requires companies to recognize the income tax effects of intercompany sales and transfers of assets, other than inventory, in the period in which the transfer occurs. The guidance is effective for annual reporting periods and interim periods within those annual reporting periods beginning after December 15, 2017, our fiscal 2019. The modified retrospective transition method should be applied. We adopted this guidance in the first quarter of fiscal 2019 and it did not have a material impact on our consolidated financial statements.

In August 2016, the FASB issued guidance that aims to eliminate diversity in practice in how certain cash receipts and cash payments are presented and classified in the statement of cash flows. The guidance is effective for annual reporting periods and interim periods within those annual reporting periods beginning after December 15, 2017, our fiscal 2019. The retrospective transition method should be applied. We adopted this guidance in the first quarter of fiscal 2019 and it did not have a material impact on our consolidated financial statements.

n January 2016, the FASB issued guidance that requires most equity investments be measured at fair value, with subsequent other changes in fair value recognized in net income. The guidance also impacts financial liabilities under the fair value option and the presentation and disclosure requirements on the classification and measurement of financial instruments. The guidance is effective for annual reporting periods and interim periods within those annual reporting periods beginning after December 15, 2017, our fiscal 2019. It should be applied by means of a cumulative-effect adjustment to the balance sheet as of the beginning of the fiscal year of adoption, unless equity securities do not have readily determinable fair values, in which case the amendments should be applied prospectively. We adopted this guidance in the first quarter of fiscal 2019. We did not use prospective amendments for any investments and adoption did not have a material impact on our consolidated financial statements.

The following reconciliations provide the effect of the reclassification of the net periodic benefit cost from operating expenses to other (income) expense in our consolidated statements of income for fiscal year 2018 and 2017 (in millions):

Report R-919: Table

Twelve Months Ended September 29, 2018:	**As Previously Reported**	**Adjustments**	**As Recast**
Cost of Sales	$34,926	$30	$34,956
Selling, General and Administrative	$2,071	$(7)	$2,064
Operating Income	$3,055	$(23)	$3,032
Other (Income) Expense	$310	$(23)	$287
Twelve Months Ended September 30, 2017:	As Previously Reported	Adjustments	As Recast
Cost of Sales	$33,177	$21	$33,198
Selling, General and Administrative	$2,152	$(11)	$2,141
Operating Income	$2,931	$(10)	$2,921
Other (Income) Expense	$303	$(10)	$293

Report R-920

Report R-920: Text

Fourth quarter gross profit was $1,081 million and gross margin was 39.3%. On a sequential basis, gross margin increased 140 basis points, mainly driven by improved product mix and better manufacturing efficiencies.

Gross margin decreased 70 basis points year-over-year, mainly impacted by price pressure and unsaturation charges, partially offset by improved manufacturing efficiencies, better product mix and favorable currency effects, net of hedging.

Report R-920: Table

		Three Months Ended		Variation	
	December 31, 2019	September 29, 2018	December 31, 2018	Sequential	Year-Over-Year
		(Unaudited, in millions)			
Gross profit	$ 1,081	$ 967	$ 1,059	11.8%	2.0%
Gross margin (as percentage of net revenues)	39.3%	37.9%	40.0%	+140 bps	-70 bps

Report R-921

Report R-921: Text

Sales and Marketing

Sales and marketing expenses increased $3.1 million, or 1%, in 2019 as compared to 2018. As a percentage of revenue, sales and marketing expense decreased by approximately two percentage points, resulting from the 2018 Reallocation, increased cost efficiency, and leverage realized from changes to our sales commission plans as we continued our efforts to strategically scale our sales teams and improve their productivity.

Sales and marketing expenses decreased $15.6 million, or 7%, in 2018 as compared to 2017. As a percentage of revenue, sales and marketing expense decreased by approximately eight percentage points, primarily resulting from a combination of increased cost efficiency, reduction in headcount as part of our restructuring activities, and leverage realized from changes to our sales commission plans as we continued our efforts to strategically scale our sales teams and improve their productivity.

Report R-921: Table

		Year Ended December 31,	
	2019	**2018**	**2017**
		(dollars in thousands)	
Sales and marketing	$227,733	$224,635	$240,271
Percent of revenue	39.5%	41.8%	49.9%

Report R-922

Report R-922: Text

NOTE 4 – REMUNERATION TO AUDITORS APPOINTED AT THE PARENT COMPANY’S ANNUAL GENERAL MEETING

Under SEC regulations, the remuneration of the auditor of USD 0.7m (2018: USD 0.8m, 2017: USD 1.0m) is required to be presented as follows: Audit USD 0.6m (2018: USD 0.6m, 2017: USD 0.6m) and other audit-related services USD 0.1m (2018: USD 0.2m, 2017: USD 0.4m).

Our Audit Committee pre-approves all audit, audit-related and non-audit services not prohibited by law to be performed by our independent auditors and associated fees prior to the engagement of the independent auditor with respect to such services.

Report R-922: Table

USDm	**2019**	**2018**	**2017**
Audit fees			
Fees payable to the Company's auditor for the audit of the Company's annual accounts	0.4	0.4	0.4
Audit of the Company's subsidiaries pursuant to legislation	0.2	0.2	0.2
Total audit fees	0.6	0.6	0.6
Non-audit fees			
Audit-related services	0.1	0.2	0.4
Tax services	0.0	-	-
Total non-audit fees	0.1	0.2	0.4
Total	0.7	0.8	1.0

Report R-923

Report R-923: Text

As of December 31, 2019, our required annual payments relating to these contractual obligations were as follows (in millions):

(1) Includes finance lease obligations.

(2) These calculations include the effect of our interest rate swaps and assume that (a) applicable margins remain constant; (b) our term A loan and revolving credit facility variable rate debt is priced at the one-month LIBOR rate in effect as of December 31, 2019; (c) only mandatory debt repayments are made; and (d) no refinancing occurs at debt maturity.

(3) Other includes commitment fees on our revolving credit facility and rating agencies fees.

Report R-923: Table

			Payments due by period	
	Total	2020	2021-2022	2023-2024
Debt(1)	$1,554.8	$80.0	$184.1	$1,290.7
Interest on debt (2)	171.5	54.7	102.0	14.8
Data processing and maintenance commitments	103.4	44.5	46.5	12.4
Operating lease payments	27.5	12.6	11.5	3.4
Other(3)	3.9	1.2	2.4	0.3
Total	$1,861.1	$193.0	$346.5	$1,321.6

Report R-924

Report R-924: Text

13. Loss per Share

The following data shows the amounts used in computing loss per share and the effect on earnings and the weighted average number of shares of dilutive potential common shares.

Basic earnings (loss) per share is computed as net income available to common shareholders divided by the weighted average basic shares outstanding. The outstanding shares used to calculate the weighted average basic shares excludes 300,437, 334,817 and 490,355 of restricted shares and performance shares at March 31, 2019, 2018 and 2017, respectively, as these shares were issued but were not vested and, therefore, not considered outstanding for purposes of computing basic earnings per share at the balance sheet dates.

Diluted earnings (loss) per share includes the effect of all potentially dilutive securities on earnings per share. We have stock options, stock-settled appreciation rights ("SSARs"), unvested restricted shares and unvested performance shares that are potentially dilutive securities. When a loss is reported, the denominator of diluted earnings per share cannot be adjusted for the dilutive impact of sharebased compensation awards because doing so would be anti-dilutive.

In addition, when a net loss is reported, adjusting the denominator of diluted earnings per share would also be anti-dilutive to the loss per share, even if the entity has net income after adjusting for a discontinued operation. Therefore, for all periods presented, basic weighted-average shares outstanding were used in calculating the diluted net loss per share.

Report R-924: Table

		Year ended March 31,	
(In thousands, except per share data)	**2019**	**2018**	**2017**
Numerator:			
Net loss	$(13,164)	$(8,350)	$(11,721)
Denominator:			
Weighted average shares outstanding - basic and diluted	23,037	22,801	22,615
Loss per share - basic and diluted:			
Net loss per share-basic and diluted	$(0.57)	$(0.37)	$(0.52)
Anti-dilutive stock options, SSARs, restricted shares and performance shares	1,433	756	1,004

Report R-925

Report R-925: Text

Deferred revenue and financed unearned services revenue (in millions):

The following table summarizes the components of our deferred revenue and financed unearned services balance as reported in our consolidated balance sheets (in millions):

Deferred product revenue represents unrecognized revenue related to undelivered product commitments and other product deliveries that have not met all revenue recognition criteria. Deferred services revenue represents customer payments made in advance for services, which include software and hardware maintenance contracts and other services. Financed unearned services revenue represents undelivered services for which cash has been received under certain third-party financing arrangements. See Note 18 – Commitments and Contingencies for additional information related to these arrangements

Report R-925: Table

	April 26, 2019	**April 27, 2018**
Deferred product revenue	$ 84	$ 107
Deferred services revenue	3,502	3,134
Financed unearned services revenue	82	122
Total	$ 3,668	$ 3,363
Reported as:		
Short-term	$ 1,825	$ 1,712
Long-term	1,843	1,651
Total	$ 3,668	$ 3,363

Report R-926

Report R-926: Text

Operating Leases and Other Contractual Commitments

VMware leases office facilities and equipment under various operating arrangements. VMware’s minimum future lease commitments and other contractual commitments at January 31, 2020 were as follows (table in millions):

(1) Amounts in the table above exclude legally binding minimum lease payments for leases signed but not yet commenced of $361 million, as well as expected sublease income.

The amount of the future lease commitments after fiscal 2025 is primarily for the ground leases on VMware’s Palo Alto, California headquarter facilities, which expire in fiscal 2047. As several of VMware’s operating leases are payable in foreign currencies, the operating lease payments may fluctuate in response to changes in the exchange rate between the U.S. dollar and the foreign currencies in which the commitments are payable.

Report R-926: Table

	Future Lease Commitments(1)	Purchase Obligations	Asset Retirement Obligations	Total
2021	$144	$168	$1	$313
2022	141	74	3	218
2023	127	13	2	142
2024	101	—	—	101
2025	77	—	2	79
Thereafter	612	—	5	617
Total	$1,202	$255	$13	$1,470

Report R-927

Report R-927: Text

CAPITAL MANAGEMENT

The primary objective of the Company’s capital management is to ensure that it maintains a strong credit rating and healthy capital ratios to support its business and maximize the stockholders’ value. The Company also ensures its ability to operate continuously to provide returns to stockholders and the interests of other related parties, while maintaining the optimal capital structure to reduce costs of capital.

To maintain or adjust the capital structure, the Company may adjust the dividend payment to stockholders, return capital to stockholders, issue new shares or dispose assets to redeem liabilities.

Similar to its peers, the Company monitors its capital based on debt to capital ratio. The ratio is calculated as the Company’s net debt divided by its total capital. The net debt is derived by taking the total liabilities on the consolidated balance sheets minus cash and cash equivalents. The total capital consists of total equity (including capital, additional paid-in capital, retained earnings, other components of equity and non-controlling interests) plus net debt.

The Company’s strategy, which is unchanged for the reporting periods, is to maintain a reasonable ratio in order to raise capital with reasonable cost. The debt to capital ratios as of December 31, 2018 and 2019 were as follows:

Report R-927: Table

	As of December 31,	
	2018	**2019**
	NT$	**NT$**
	(In Thousands)	**(In Thousands)**
Total liabilities	$158,199,746	$163,347,778
Less: Cash and cash equivalents	(83,661,739)	(95,492,477)
Net debt	74,538,007	67,855,301
Total equity	204,397,483	202,913,915
Total capital	$278,935,490	$270,769,216
Debt to capital ratios	26.72%	25.06%

Report R-928

Report R-928: Text

ADVANCED ENERGY INDUSTRIES, INC. NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (continued) (in thousands, except per share amounts) ADVANCED ENERGY INDUSTRIES, INC. NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (continued) (in thousands, except per share amounts)

The following table presents our net sales by extended warranty and service contracts recognized over time and our product and service revenue recognized at a point in time:

Report R-928: Table

		Years Ended December 31,	
	2019	**2018**	**2017**
Product and service revenue recognized at point in time	$786,918	$715,055	$667,440
Extended warranty and service contracts recognized over time	2,030	3,837	3,572
Total	$788,948	$718,892	$671,012

Report R-929

Report R-929: Text

Lockheed Martin Transaction

On August 16, 2016, a wholly-owned subsidiary of Leidos Holdings, Inc. merged with the IS&GS Business in a Reverse Morris Trust transaction (the "IS&GS Transactions").

During fiscal 2017, the Company recorded adjustments to finalize the fair value of acquired assets and liabilities assumed which resulted in a $337 million increase in goodwill. Significant changes included intangible assets, property, plant and equipment, deferred tax assets, other assets, accounts payable and accrued liabilities and deferred tax liabilities.

On January 10, 2018, the final amount of the net working capital of the IS&GS Business was determined through a binding arbitration proceeding in accordance with the Separation Agreement with Lockheed Martin. As a result, $24 million was recorded as acquisition costs in the consolidated statements of income for fiscal 2017. On January 18, 2018, the final working capital amount of $105 million was paid to Lockheed Martin, of which $24 million and $81 million was presented as cash flows from operating and investing activities, respectively, on the consolidated statements of cash flows.

During fiscal 2018, a tax indemnification liability of $23 million was paid to Lockheed Martin in accordance with the Tax Matters Agreement, which was presented as cash flows from financing activities on the consolidated statements of cash flows.

The Company incurred the following expenses related to the acquisition and integration of the IS&GS Business:

These acquisition and integration costs have been recorded within Corporate and presented in "Acquisition, integration and restructuring costs" on the consolidated statements of income.

Report R-929: Table

		Year Ended	
	January 3, 2020	**December 28, 2018**	**December 29, 2017**
		(in millions)	
Acquisition costs	$—	$—	$25
Integration costs	3	29	77
Total acquisition and integration costs	$3	$29	$102

Report R-930

Report R-930: Text

The following are the significant assumptions adopted in measuring the Company’s pension and other benefit obligations:

For certain Canadian post-retirement plans the above trend rates are applicable for 2019 to 2024 which will increase linearly to 4.75% in 2029 and grading down to an ultimate rate of 3.57% per annum in 2040 and thereafter.

Report R-930: Table

As at December 31,	Pension 2019	Other 2019	Pension 2018	Other 2018
Actuarial benefit obligation				
Discount rate	3.20%	2.95% to 3.20%	3.80%	3.80% to 4.00%
Benefit costs for the year ended				
Discount rate	3.90%	3.90% to 4.00%	3.60%	3.25% to 3.60%
Future salary growth	2.50%	N/A	2.50%	N/A
Health care cost trend rate	N/A	3.49% to 5.49%	N/A	4.50%
Other medical trend rates	N/A	4.00% to 4.56%	N/A	4.50%